

Unit 3: Planning and Decision Making

1. Concept of Planning

Planning is the process of **deciding in advance what actions should be taken in the future**. It involves setting goals and determining the best way to achieve them.

It is considered the **primary function of management** because all other functions (organizing, leading, controlling) depend on planning.

In simple terms:

Planning answers four basic questions:

What to do, how to do, when to do, and who will do it.

Nature of Planning

Planning has the following characteristics:

- It is **future-oriented**, as it focuses on upcoming activities.
 - It is a **continuous process**, since plans need regular updates.
 - It involves **decision-making**, because managers must choose among alternatives.
 - It is **goal-directed**, meaning all plans are designed to achieve objectives.
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Example

A software company planning to develop a mobile application will decide:

- what features to include
 - how long development will take
 - which team members will be assigned
 - what resources are required
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2. Importance of Planning

Planning plays a crucial role in management because it provides a clear direction for organizational activities.

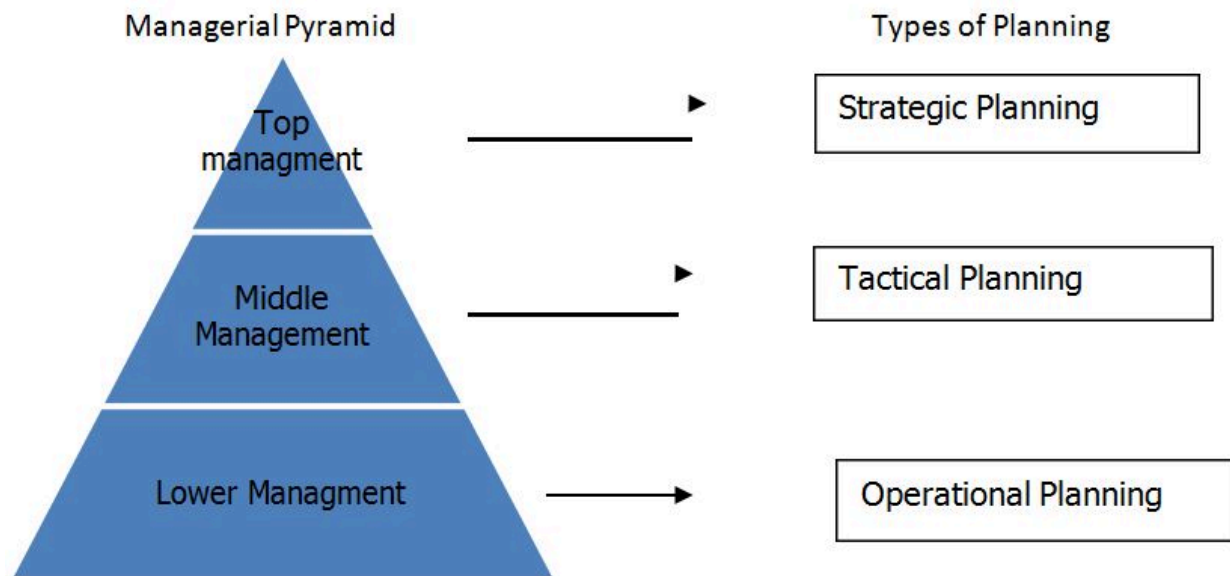
- It helps organizations **focus on objectives**, ensuring that all efforts are aligned toward common goals.
- It reduces uncertainty by preparing the organization for **future risks and changes**.
- Planning improves efficiency by **avoiding duplication and waste of resources**.
- It also acts as a basis for control, since actual performance can be compared with planned targets.

In short, planning makes organizational activities more **systematic and purposeful**.

3. Types of Plans

Plan: A plan is a predetermined course of action that specifies **what is to be done, how it is to be done, and when it is to be done** in order to achieve organizational goals.

On the basis of hierarchy, following are the major types of plan prepared in the organization



a. Strategic Plan / Corporate Plan

- It is long-term for five or more years.
- It is prepared by top-level management by considering long-term objectives of the organization.
- It is the end point of planning.
- It consists of programs, policies, and schedules to properly utilize the available resources of the organization.
- It is based on the analysis of environmental opportunities and threats.
- It provides long-term direction and scope to the organization.

b. Tactical Plan / Division Plan

- It is a departmental plan.
- It is prepared for one to five years.
- It is prepared by middle-level management for implementing the strategic plan.
- It is a sub-division of the corporate plan to be implemented in the practical field.
- It is prepared to allocate divisional activities like production, finance, marketing, personnel, and others.
- It plays a mediator role between corporate and operational plans.

c. Operational Plan / Unit Plan

- It is a unit-wise plan concerned with day-to-day operations.
- It is prepared for the short term, less than one year.
- It is a specific plan of each and every activity of the unit.
- It is consistent with the tactical plan and is prepared by first-line management.
- It is concentrated on the best use of organizational resources.

4. Planning Process (Steps in Planning)

It is essential to complete certain procedures for developing an effective plan.

1. Analyze Opportunities

- It is a pre-step of planning.
 - This step analyzes the environment using SWOT.
 - Strengths and weaknesses: internal
 - Opportunities and threats: external
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2. Setting Objectives / Goals

- This step sets goals and objectives.
 - Goals are desired results and provide direction to the plan.
 - Goals should be SMART: specific, measurable, agreed upon, realistic, and time-bound.
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3. Develop Planning Premises

- Premises are key assumptions about the future environment.
 - The future environment is estimated on the basis of forecasting.
 - It may be tangible or intangible, or internal and external.
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4. Determine Alternatives

- After determining premises, management needs to identify various alternative courses of action for the achievement of organizational objectives.
- It is developed through the support of experience and experts in management.

5. Evaluation of Alternatives

- This step evaluates the selected alternatives from their expected cost and benefit point of view.
- Management may apply various techniques of analysis from different disciplines like mathematics, sociology, psychology, economics, etc.

6. Select the Best Alternative

- For the selection of alternatives, management has to consider past experience, present situation, and future contingencies of such decisions.
- Time, cost, quality, resource availability, and profit are considered.
- Based on the selected alternative, the final plan is prepared.

7. Formulate Action Plan

- After formulating the basic plan, various supporting plans are developed for each product, department, unit, and activity.
- These derivative plans help to implement the basic plan.

8. Converting Plans into Budget

- The basic plan and other supporting plans should be expressed in quantitative form, i.e., budget.
- It helps to measure achievement and deviation.

9. Implementation of Plan

- Implementation brings all the procedures of the plan into action.
- Management should communicate with subordinates, provide necessary instruction and guidance, arrange resources, and ensure timely supervision and control.

10. Follow-up / Reviewing the Planning Process

- Due to uncertainties of the future, it is necessary that plans should be evaluated from time to time to measure their effectiveness.
- Managers can take corrective action after evaluating actual performance.

5. Tools for Planning

1. Forecasting

- It is the process of predicting future events that may significantly affect the business.
- Different quantitative techniques may be used in forecasting like time series analysis, regression analysis, causal models, economic models, and indicators.
- Forecasting includes sales, revenue, technological, resource, and environmental forecasting.

2. Network Technique

- It is a technique used to plan and control time and cost of a project.
 - Program Evaluation and Review Technique (PERT) and Critical Path Method (CPM) are used.
 - PERT develops a network of activities and their interrelationships to highlight critical time intervals.
 - CPM identifies the longest path through which the project can be completed in the shortest time.
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3. Flow Chart

- It is simply arranging events in the order of their desired occurrence.
 - It eliminates wasted steps and activities.
 - It is used to identify task components and simplify work.
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4. Gantt Chart (Henry L. Gantt)

- It focuses on activities and the time required to complete them.
 - It is a graphical scheduling tool.
 - The vertical dimension represents activities, and the horizontal dimension shows the time frame.
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5. Break-even Analysis

- Break-even point is the level of activity where cost equals revenue.
- It is the no loss, no profit point.

$$\text{BEP} = \text{Fixed Cost} / (\text{Sales} - \text{Variable Cost})$$

6. Linear Programming

- It is a mathematical tool used for optimum combination of scarce resources and activities.
 - Managers find the best way to allocate limited resources within constraints.
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7. Simulation

- It is a model used to solve real-life problems, such as in computer programming.
 - Related variables and their relationships are used to predict outcomes.
 - It is useful in complex situations.
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6. Decision Making

Meaning

- Decision making is the process of selecting the best course of action from available alternatives.
 - A manager must make decisions before taking action.
 - It is done to solve problems or achieve goals.
 - It involves choosing a specific course of action to solve organizational problems.
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Nature / Features of Decision Making

- Goal-oriented
 - Problem-solving
 - Choice-based
 - Dynamic
 - Continuous
 - Pervasive
 - Involves commitment
 - Human process
 - Freedom to the decision maker
 - Positive or negative impact
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7. Process of Decision Making

Decision making involves a series of steps and procedures:

1. Identification of problem
2. Analysis of problem
3. Development of alternatives
4. Evaluation of alternatives
5. Selection of best alternative
6. Implementation of alternative
7. Review of implementation

8. Types of Decision

1. Programmed and Non-programmed Decisions (on the basis of frequency)

a. Programmed Decision

- Taken for regular and repetitive problems

b. Non-programmed Decision

- Taken for unique or new problems
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2. Routine and Basic Decisions (on the basis of nature)

a. Routine Decision

- Related to day-to-day operations

b. Basic Decision

- Related to long-term survival and growth of the business
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3. Organizational and Personal Decisions (on the basis of issues)

a. Organizational Decision

- Formal or official decision

b. Personal Decision

- Informal or unofficial decision
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4. Individual and Group Decisions (on the basis of involvement)

a. Individual Decision

- Made by a single person

b. Group Decision

- Made by a group of persons
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5. Policy and Operational Decisions (on the basis of scope)

a. Policy Decision

- Taken considering long-term functioning

b. Operational Decision

- Taken considering day-to-day functioning

9. Decision Making Conditions

There are different conditions under which decisions are made:

1. Certainty

- There is only one outcome for each choice.
- The manager is well informed about alternatives and outcomes.

2. Risk

- It is more difficult to predict future conditions.
- Managers know the alternatives, but outcomes are associated with probability estimates.

3. Uncertainty

- It arises from the complexity and dynamism of the environment.
 - It occurs when managers are unaware of the problems they face.
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